

FLOOR AMENDMENT

HOUSE OF REPRESENTATIVES

State of Oklahoma

SPEAKER:

CHAIR:

I move to amend SB650 _____
Of the printed Bill
Page _____ Section _____ Lines _____
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Adopted: _____

Amendment submitted by: Dick Lowe

Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR ENGROSSED

SENATE BILL NO. 650

By: Paxton of the Senate

and

Harris of the House

FLOOR SUBSTITUTE

An Act relating to public finance; requiring cabinet secretary approval for salary increases in excess of specified percentage; imposing limitation on maximum salary increases; requiring agencies to adopt rules related to job performance; excluding certain licensed professional persons from certain restrictions; providing for applicability to certain employee category; providing for inapplicability to non-appropriated agencies; providing for inapplicability to certain employee categories; providing for codification; providing an effective date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 280.1 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. No executive branch agency shall increase the salary of a state employee by more than ten percent (10%) with respect to any fiscal year unless the cabinet secretary with jurisdiction over the

1 agency formally approves such increase. The Office of Management
2 and Enterprise Services shall prescribe a form to be used by a
3 cabinet secretary and at least one copy of the approval shall be
4 retained by the agency providing the salary increase and one copy
5 shall be retained by the Office of Management and Enterprise
6 Services.

7 B. The maximum bonus amount that any state agency may provide
8 any state employee shall be ten percent (10%) of the base salary
9 amount in effect for the employee as of the original hire date for
10 the employee or as of the anniversary of such original hire date for
11 an employee with service in excess of one (1) fiscal year. The
12 Office of Management and Enterprise Services shall prescribe a form
13 to be used by executive branch agencies for the approval of a bonus
14 amount authorized by this subsection.

15 C. Each state agency shall establish, pursuant to permanent
16 administrative rules, a maximum authorized bonus amount for each
17 employee position within the agency and shall also establish metrics
18 or other performance measures with respect to each such employee
19 position or job category which shall either already be in effect as
20 of the date the bonus becomes effective or which shall take effect
21 not later than thirty (30) days after the employee is hired.

22 D. Salary adjustments for all employees performing services for
23 an executive branch agency in excess of ten percent (10%) may be
24 authorized as a result of performance reviews, a change in job

1 duties or titles or based on substantial modification of existing
2 duties and responsibilities which shall be documented by the agency
3 using a form prescribed for such purpose by the Office of Management
4 and Enterprise Services.

5 E. The provisions of subsection A and subsection B of this
6 section shall not be applicable to the executive director or other
7 chief executive officers of an agency. Such positions shall be
8 subject to rules established by the agency on pay, bonuses and
9 raises pursuant to subsection C of this section.

10 F. The provisions of subsection A and subsection B of this
11 section shall not be applicable to job positions or categories
12 requiring advanced degrees or licensing or accreditation including,
13 but not limited to, medical doctors, certified public accountants,
14 and professional engineers. Such positions shall not be subject to
15 the provisions of subsection A or subsection B of this section.
16 Such positions shall be subject to rules established by their
17 employing agency on pay, bonus and raises pursuant to subsection C
18 of this section.

19 G. The provisions of subsection A and subsection B of this
20 section shall not be applicable to wholly non-appropriated state
21 agencies or their employees. Wholly non-appropriated state agencies
22 shall not be subject to the rulemaking provisions of this section.
23 Such agencies shall remain subject to the pay movement mechanisms
24 listed in subsection B of Section 840-2.17 of Title 74 of the

Oklahoma Statutes. Salary increases or bonuses exceeding ten percent (10%) received by any employee of an agency governed by this subsection shall be documented by the agency on a form prescribed for such purpose by the Office of Management and Enterprise Services. At least one copy shall be retained by the agency providing the salary increase or bonus and one copy shall be retained by the Office of Management and Enterprise Services.

H. The provisions of subsection A and subsection B of this section shall not be applicable to the employees of institutions within The Oklahoma State System of Higher Education, employees of any career technology district or to employees of any common school district. The provisions of subsection A and subsection B of this section shall be applicable to employees of the Oklahoma State Regents for Higher Education.

SECTION 2. This act shall become effective July 1, 2026.

SECTION 3. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

60-2-17612 GRS 05/06/26